



How Much Do You Need to Spend?

Figuring out your start-up costs can be overwhelming. Take a systematic approach and divide your expenditures by category to calculate what you do—and do not—need to spend on.

Identifying potential costs

Accurately calculating exactly how much money you need to spend in order to get your business up and running is a critical step. It will help you assess whether you will be able to survive the first few months of operation and will give you a clearer idea of whether you might need to raise additional funds. It is useful to think about your start-up costs as falling into

three separate categories: assets, initial costs, and regular ongoing costs. You will then need to compare these three categories with your estimated monthly revenue for the first year. The comparison will give you a realistic idea of your business's financial health, alerting you to potential peaks and troughs throughout the year and showing when you are likely to break even and then start making a profit.

Estimating start-up costs

Create a spreadsheet so you can see at a glance the three main types of spending you will incur when you start operating. In the first column, note business assets, such as those shown here, and their cost plus the cash in the bank you need to get started. In the second, itemize initial expenses, such as branding or legal work. Add all these costs together to give you the amount you need to spend to get your business to the point of launch. In the third column, list regular ongoing expenses.

STARTING ON A SHOESTRING

If your finances are limited, be realistic, and prune your start-up costs to the bare minimum. For example:

- **Upgrade your computer**, rather than replace it, and borrow other items from friends and family.
- **Buy office furniture** and equipment from auction sites, secondhand stores, specialty resellers, and bankruptcy sales, or lease special equipment initially.
- **Create your own website** using a low-cost website building service, and publicize your business yourself on social media platforms using smartphone images.
- **Use a fixed-cost contractor** for tasks that require expertise instead of taking on employees.

BUSINESS ASSETS

Equipment and items of value that your business owns. These can be tangible, such as a computer, or intangible, such as a patent.



Stock/inventory

Items required for retail, hospitality, wholesale, or manufacturing ventures



IT equipment

Technology such as desktop computers, laptops, and cell phones



Office furniture

Ergonomic desks and office chairs to support staff well-being



Vehicles

Any mode of transportation required for delivery or business travel